

Business Strategy

Pdf -1 (A)

1. Define Strategic Management?

Ans: Strategic management is the process of formulating and implementing strategies to achieve the goals and objectives of an organization.

2. Explain example of Strategic Management.

Ans:

- **Strong Market Entry:** Strong market entry means a company enters a market successfully and gains customers quickly. It uses good planning, marketing, and competitive pricing to attract buyers. This helps the company build a strong position against competitors. **Example:** Amazon enter the India Market police.
- **Customer-Centric Approach:** Customer-centric approach means focusing on customer needs and satisfaction first. The company improves products and services based on customer feedback. This helps build trust, loyalty, and long-term business success. **Example:** Indian customer online shopping for Amazon.
- **Continuous Innovation:** Continuous innovation means regularly improving products, services, or ideas. Amazon introduced innovative features and services tailored to the Indian market, such as Hindi language support, regional content, and localized payment options.
- **Competitive Pricing:** Competitive pricing setting product prices similar to or better than competitors. Amazon employed a competitive pricing strategy to attract customers, offering discounts and deals on popular products.
- **Strategic Partnerships:** Strategic partnerships mean two or more companies work together for mutual benefit. They share resources, knowledge, or technology to achieve common goals. Amazon forged partnerships with local retailers, brands, and small businesses, enabling them to expand their product range.
- **Investments in Technology:** Investments in technology mean spending money on new tools, software, or machines. Amazon significantly invested in technology and data analytics to enhance customer personalization, improve operational efficiency.

3. Explain Task of Strategic Management.

The strategy-making, strategy-implementing process consists of five inter-related managerial tasks:

1. A company decides what type of business it wants to do. It creates a clear vision and plans for future growth. This gives long-term direction and helps achieve company goals.
2. Turning the company's vision and mission into clear goals and performance targets.
3. Making a strategy to achieve the planned goals.
4. Applying and carrying out the strategy in an efficient and effective way.
5. Checking performance, reviewing changes, and making necessary improvements in goals, strategy, or implementation based on experience, changing conditions, new ideas, and opportunities.

4. Explain Strategic Management Process.

- a) **Goal-Setting:** The company sets clear goals for what it wants to achieve. These goals help guide work and measure success in the future.
- b) **Analysis:** The company studies its internal strengths and weaknesses and external opportunities and threats. This helps the company make better decisions and plan future strategies.
- c) **Strategy formulation:** The company creates a plan to achieve its goals and solve problems. This could involve diversification, market penetration, product development, partnerships, cost leadership, or differentiation strategies, among others.

- d) **Strategy implementation:** The company starts using the planned strategy in daily work. Employees follow the plan and complete their tasks properly. This helps the company reach its goals successfully.
- e) **Evaluation and control:** This stage is about monitoring your progress, comparing it with your plan, and making adjustments like the captain of a ship.

5. What is Stakeholder with figure?

A stakeholder is an individual or a group of individuals with an interest, often financial, in the success of a business. The primary stakeholders in a corporation include its Customer, Government, Employees, Communities, Suppliers and Investors.



6. Explain Type of Stakeholder's.

1. Customers:

Stake: Product/service quality and value

Customers buy the company's products or services. They help the business grow through their support. For example, passengers traveling on an airplane literally have their lives in the of transportation, mining, oil and gas, construction, etc.

2. Governments

Stake: Taxes and GDP

Governments can also be considered a major stakeholder in a business, as they collect taxes from the company. Governments benefit from the overall Gross Domestic Product (GDP) that companies contribute to.

3. Employees

Stake: Employment income and safety

Employees work for the company and help complete daily tasks. Their effort helps the company succeed.

4. Communities

Stake: Health, safety, economic development

Communities are the people around the business. Communities are major stakeholders in large businesses located in them.

5. Suppliers and Vendors

Stake: Revenues and safety

Suppliers and vendors sell goods and/or services to a business and rely on it for revenue generation and on-going income.

6. Investors

Stake: Financial returns

Investors provide money to support the business. They expect profit and business growth in return.

Pdf – 3 (B)

1. Define and Explain Macro Environment factor with figure.

Ans: Macro environment refers to the major external and uncontrollable factors that influence the decision making of an organization. A company does not operate alone in its business environment, but operates in a larger context.

Explain Macro Environment factor:

Six components of macro environment are Demographic, Economic, Natural, Technological, Political and Cultural environments.

1. Demographic environment: Demography can be defined as the study of human population in context of size, density, age, location, gender, race, occupation and other statistics. The large and diverse demographics offer both opportunities as well as challenges for businesses.

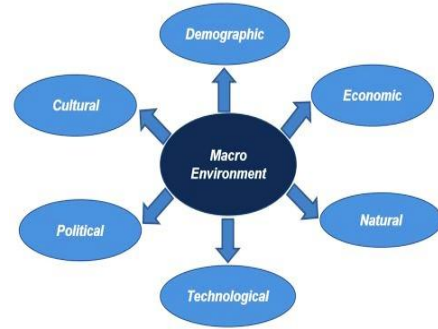
2. Economic Environment: Economic environment includes factors that affect people's buying ability and spending habits. A company should check factors like GDP, income, inflation, unemployment, and spending patterns before doing business in a country.

3. Natural Environment: Natural environment includes natural resources and physical conditions used in business activities. Example: air and water pollution, floods, droughts, etc.

4. Technological Environment: Technology has a big effect on business and marketing activities. Before investing, a company should study the use of technology in the area and plan its communication and marketing properly.

5. Political environment: The developments in the political environment strongly affect the marketing decisions. This involves laws, government agencies, as well as the pressure groups that can influence.

6. Cultural environment: Cultural environment includes people's values, beliefs, behavior, and preferences in society. A company must understand local culture before making marketing decisions, because the same symbol or idea can have different meanings in different cultures.



2. Define Core Competencies.

Core competencies are the defining products, services, skills and capabilities that give a business advantage's over its competitors. In other words, business core competencies are advantages that no competitor can reasonably offer or replicate.

❖ What are examples of Core Competencies in business?

Some typical core competencies include the following:

- **Consistently high quality**
- **Incomparable value**
- **Ceaseless innovation**
- **Clever, successful marketing**
- **Great customer service**
- **Formidable size and buying power**

Explain this point:

- **Consistently high quality:** Google is the world's leading search engine and one of the most-used email, calendar and cloud storage platforms. Its software quality remains consistently high, no matter the tool. People use Google because it is easy to use, modern, reliable, and helps organize work efficiently.
- **Incomparable value:** Dropbox is popular because it makes file sharing easy and offers useful features at a reasonable price. Businesses use Dropbox for cloud storage, offline access, e-sign tools, and other services that provide good value for money.
- **Ceaseless innovation:** QuickBooks is popular because it regularly adds new tools and features to improve its accounting software. Its continuous innovation makes QuickBooks a trusted choice for businesses of all sizes.
- **Clever, successful marketing:** Target has grown successfully because of its strong and smart marketing strategy. Its famous red-and-white brand style, logo, and advertisements make it easily recognized by customers.

- **Great customer service:** McDonald's is successful because of its large size and strong buying power. It can open many new branches and buy food at low cost, which helps sell meals at affordable prices.
- **Formidable size and buying power:** Amazon is successful because it provides excellent customer service and focuses strongly on customer satisfaction. Its online marketplace offers many products and helps both customers and businesses sell easily online.